

Research Assignment 2 BrightLearn Business Analytics Terminology

1. Business Analytics

- Business Analytics is the process of using data, statistical methods and technology to support business decision-making. It helps organizations identify trends, solve problems and improve performance.

Example: A retail company analyzes sales data to determine which products should be stocked in larger quantities.

2. Data Analytics

- Data Analytics focuses on examining raw data to uncover patterns, trends and insights. It is broader and can be applied in many ~~the~~ fields not only business.

Example: A hospital analyzes patient data to identify factors that increase readmission rates.

3. Business Intelligence (BI)

- Business intelligence refers to technologies and tools used to collect, organize and display business information. BI mainly focuses on reporting and understanding current and past performance.

Example: A manager uses a power BI dashboard to monitor monthly sales results.

4. Data-Driven Decision Making

- Data-driven ~~making~~ ^{means} decision making business choices based on facts and data rather than intuition alone. It reduces uncertainty and improves decision quality.

Example: An e-commerce company launches a product because customer data shows strong demand.

5. Big Data

- Big Data refers to extremely large and complex datasets that cannot be easily managed using traditional methods. It is often described through volume, velocity and variety.

Example: Netflix analyzes billions of viewing records to recommend shows.

6. Descriptive Analytics

- Descriptive Analytics explains what happened in the past by summarizing historical data. It often uses reports, charts and dashboards.

Example: A company reviews last quarter's sales performance report.

7. Diagnostic Analytics

- Diagnostic Analytics investigates why something happened by identifying causes and relationships within data.

Example: A retailer examines sales records to understand why revenue dropped in a specific month.

8. Predictive Analytics

- Predictive Analytics ~~uses~~ uses historical data and statistical models to forecast future outcomes. It helps organizations prepare for likely events.

Example: A bank predicts which customers are likely to default on loans.

9. Prescriptive Analytics

- Prescriptive Analytics recommends actions that should be taken to achieve desired outcomes. It combines predictive predictions with decision-making techniques.

Example: A delivery company uses software to recommend the fastest routes.

10. Data Literacy

- Data Literacy is the ability to read, understand, analyze and communicate data effectively. It enables employees to make informed decisions.

Example: A marketing manager interprets campaign results and adjusts strategy accordingly.

12. Unstructured Data

- Unstructured Data does not follow a predefined format. Examples include images, videos, emails and social media posts.

Example: Customer reviews posted on Facebook.

11. Structured Data

- Structured Data is organized in rows and columns, making it easy to store and analyze.

Example: Customer records stored in a Excel spreadsheet.

13. Data Warehouse

- A Data Warehouse is a centralized repository where data from multiple sources is stored for reporting and analysis.

Example: A bank combines information from all branches into one warehouse.

14. Data Mining

- Data Mining involves hidden patterns and relationships within large datasets.

Example: A supermarket identifies products frequently purchased together.

15. Data Visualization

- Data Visualization presents information through charts, graphs and other visuals to make insights easier to understand.

Example: A sales dashboard showing monthly revenue trends.

16. Dashboard

- A Dashboard is a visual displaying important metrics and KPIs in one place.

Example: Executives monitor company performance using a real-time dashboard.

17. Metric

- A metric is any measurable value used to track business activities. Metrics provide information but are not always critical to strategic goals.

Example: Website page views

18. Key Performance Indicator (KPI)

A KPI is a metric directly linked to a strategic business objective. Every KPI is a metric but not every metric is important enough to be considered a KPI.

Example: An online store may track revenue growth as a KPI, while page views remain only a metric.

19. Benchmark

- A Benchmark is a standard or reference point used to compare performance.

Example: Comparing customer satisfaction scores against industry averages.

20. Segmentation

- Segmentation is the process of dividing customer into groups based on similar characteristics or behaviours.

Example: A retailer creates separate campaigns for students and working professionals.

21. Conversion Rate

- Conversion Rate measures the percentage of users who complete a desired action.

Example: 100 purchases from 2,000 website visitors equals a 5% conversion rate.

22. Customer Acquisition Cost (CAC)

CAC measures the total cost of acquiring one new customer including marketing and sales expenses.

Example: Spending R50,000 to gain 100 customers results in a CAC of R500.

23. Customer Lifetime Value (CLV)

CLV estimates the total revenue or profit a company expects from a customer over the entire relationship.

Example: A subscriber generating R12,000 over five years has a CLV of R12,000.

CLV ratio: If CLV is R12,000 and CAC is R3,000 the ratio is 4:1. This indicates the company earns four times what it spends to acquire a customer.

24. Churn Rate

- Churn Rate measures the percentage of customers who stop doing business with a company during a period.

Example: Losing 50 out of 1,000 customers gives a churn rate of 5%.

25. Customer Retention Rate

- Retention Rate measures the percentage of customer who continue purchasing from a company.

Example: Retaining 950 of 1,000 customers gives a retention rate of 95%.

26. Net Promoter Score (NPS)

NPS measures customer loyalty by asking how likely customers are to recommend a business.

Example: Apple uses customer surveys to monitor brand loyalty.

27. Average Order Value (AOV)

AOV measures the average amount spent per transaction.

Example: R100,000 sales from 500 orders equals an AOV of R200.

28. Sales Funnel

- A sales funnel represents the customer journey from awareness to purchase.

Example: A potential customer sees an advertisement, visits a website and eventually buys a product.

29. Marketing Campaign

- A Marketing Campaign is a coordinated set of activities designed to promote a product, service or brand.

Example: Coca-Cola's holiday advertising campaign.

30. Post-Campaign Analysis

- Post-Campaign Analysis evaluates campaign performance after completion to determine success and identify improvements.

Example: Reviewing email campaign result after a promotion ends.

31. Incremental Revenue

- Incremental Revenue is the additional income generated directly because of a specific campaign or action.

Example: A promotion increases sales by R50,000 above normal levels.

32. Return on Investment (ROI)

ROI measures profitability by comparing gains from an investment to its cost.

Example: Spending R10,000 and earning R15,000 generates a 50% ROI.

33. Return on Ad Spend (ROAS)

- ROAS measures the revenue generated for every rand spent on advertising.

Example: Spending R1,000 on ads and generating R5,000 revenue results in a ROAS of 5:1.

34. Click-Through Rate (CTR)

- CTR measures the percentage of people who click on an advertisement or link after seeing it.

Example: 100 clicks from 10,000 ad impressions equals a CTR of 1%.

35. Bounce Rate

- Bounce Rate measures the percentage of visitors who leave a website without interacting further.

Example: A user opens a page and leaves immediately.

36. A/B Testing

- A/B Testing compares two versions of webpage, advertisement or email to determine which performs better.

Example: Testing two email subject lines to see which generates more opens.

37. Lead Generation

- Lead Generation is the process of attracting and capturing potential customers who show interest in a product or service.

Example: A company collects email addresses through a website form.

38. Marketing Attribution

- Marketing Attribution identifies which marketing channels contributed to a customer's purchase decision.

Example: Determining whether a sale came from social media, email marketing, or Google Ads.

Reference List

1. Evan, J. R. Business Analytics
2. Harvard Business Review (www.hbr.org).
3. IBM Analytics & Big Data Resources (www.ibm.com).
4. Investopedia (www.investopedia.com).
5. Hubspot Academy (academy.hubspot.com).
6. Google Analytics Help Center (support.google.com/analytics)
7. Microsoft Learn & Power BI Documentation (learn.microsoft.com).